Objective

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Letter to our shareholders

H1 FY2022

Objective Corporation Limited (ASX:OCL)

OBJECTIVE.COM

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From Tony Walls, CEO

Fellow shareholders,

Coming out of financial year 2021 we were all looking forward to life returning to "normal", but that was not to be. Whether enthusiastically or begrudgingly, we've now accepted many changes are here to stay for the medium to long term. And while many have borne consequences, many positives have also emerged. Significant to us here at Objective, is the global acceptance of "working from anywhere" practices and its impact accelerating massive digitisation of the public sector.

Inside Objective, our long-term investment in workplace tools and processes that foster team collaboration meant that more remote working was an easy transition for us, and certainly not new. We've had teams working across geographies on software development, project delivery and supporting customers since we began. What's been most inspiring for me is watching our (mostly government) customers shift their entire organisations to remote or hybrid working. This has meant hundreds, often thousands of people embracing new technologies at a rapid pace in their determination to fulfil their purpose; whether that's protecting the environment, delivering services to their communities or keeping citizens safe.

Every day, our customers remind us that we're creating software that makes a difference. Which is why we kicked off our Annual all-staff conference, at the beginning of this financial year, by reinforcing our mission: **Outstanding digital government software driving stronger communities and nations**.

There are times when I feel the significant weight of this responsibility, and I know our staff do too. But when I hear that lives are being saved, children protected, environments preserved, and local economies thriving; I feel a great sense of pride in our company, and in our people, and it motivates us to look for new ways we can do more. How can we improve what we do? What new software can we develop to further help our customers? What new markets could benefit from our solutions? Who else would fit in to the Objective family? But more on this later. As we've progressed through 1HY2022, we've established an ongoing program of work that reinforces our mission, values and brand blueprint through customer events and engagements, company updates, employee induction programs and more, so that we're all aligned to a common purpose, and one that is meaningful.

Violence Against Women Partnership at Glasgow City Council

"In the past year, almost 600 vulnerable women have come to our attention as being high-risk victims, and that equates to around 1,200 to 1,500 children and young people.

We use Objective Connect to assess the level of risk based on what each organisation knows about that level of risk, and then take actions to mitigate against that."

Kirsti Hay
Violence Against Women Coordinator
Glasgow City Council

If you've been following us for a while, you'll know we're no overnight success. A lot of blood (metaphorical), sweat (real) and tears (real), have gone into making Objective what it is today, and I deeply thank every one of our staff who work together to make this possible.

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I love working with the diverse bunch of smart, dedicated, energetic and passionate people who inspire each of us to be our **#outstanding** best, every day.

One of the six values that guide our behaviours at Objective, and emblazoned on the walls of our offices, is **Great People, Great Teams**. And by this we mean, individuals are brilliant, but teamwork delivers results. It is thanks to our great teams, that our first half financial results are also something we can all be proud of: record first half revenue of $53 million, 40% growth in Net Profit After Tax[1] and total Annualised Recurring Revenue of $79 million. All fuel for more innovation and opportunity growth.

To position us for the growth we expect over the next year and beyond, we continue to work hard to attract the best and brightest talent in the industry. This half, we've welcomed more than 60 new people to Objective. We're thrilled that our company can offer outstanding career opportunities and that so many talented people want to work with us. I'm even more proud we offer the chance for their work to make an impact on the world and love to hear when they share these stories at home, amongst friends and around the BBQ.

INNOVATION IS THE STORY OF EVERY HALF

Innovate or stagnate. Talk to any of our Devs and you'll quickly ascertain that this is why they get out of bed every day. They love building new capabilities and products.

Of course, in software, people are driven by the new – the latest languages, frameworks and methodologies are important, and at Objective we embrace cutting edge technologies across our growing product suite.

Fueled by 24% of our total revenue, our investment in research and development (R&D) and our ambitious programs delivered significant innovations across each of our business lines - we launched new products or developed major releases from each of our four development labs around the globe and we are beavering away on more innovations for H2:

- Objective Nexus from North Sydney, Australia – the next generation of information and process management delivered as a full cloud offering.
- Objective Build from Palmerston North, New Zealand – a market defining, building application and management platform for local government.
- Objective RegWorks IQ from Wollongong, Australia – bringing our consistent, intuitive user experience to Objective RegWorks and book ending the integration of Itree products into Objective.
- Objective Keystone from Reading, United Kingdom – a step change ahead for both local government and wealth management markets.

1 Net profit after tax (excluding NZCC settlement). Refer to Note 11 of Appendix 4D for further details.

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And in between our major projects we've invested in a host of features in every product in our portfolio that improve the daily working lives of our customers around the world.

Consistent and significant investment in our development program sustains momentum of our flywheel of innovation; producing outstanding software to generate outstanding customer experiences and in turn, deliver the financial results that enable us to keep investing.

Our Flywheel of Innovation.

FOI at Dept Treasury & Finance, South Australia

"It would have taken us a least 12 months to develop an FOI workflow, and I still don't think it would give us the capability and flexibility that Objective OpenGov does."

Deanna Flemming
Manager, Records & Information Management
South Australian Department of Treasury & Finance

Automated batch stamping reduces a full day process to 6 minutes

"Larger applications, which previously took half to a full day to stamp, are now stamped within six minutes."

Alex MacCalman
Assistant Building Standards Manager
Refrewshire Shire Council

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TRANSITION TO CLOUD

As governments around the world adopt cloud computing at an increasing rate, we're committed to helping our customers transition. This next half we will add more cloud-native products to our suite - Objective Nexus and Objective Build, and grow the number of users on existing cloud products - Objective Connect, Objective Keystone, Objective RegWorks and Objective Gov365.

For customers, our modern cloud architectures provide security, efficiency, scale and flexibility advantages, along with faster user adoption and automated updates, so they can achieve greater return on investment sooner.

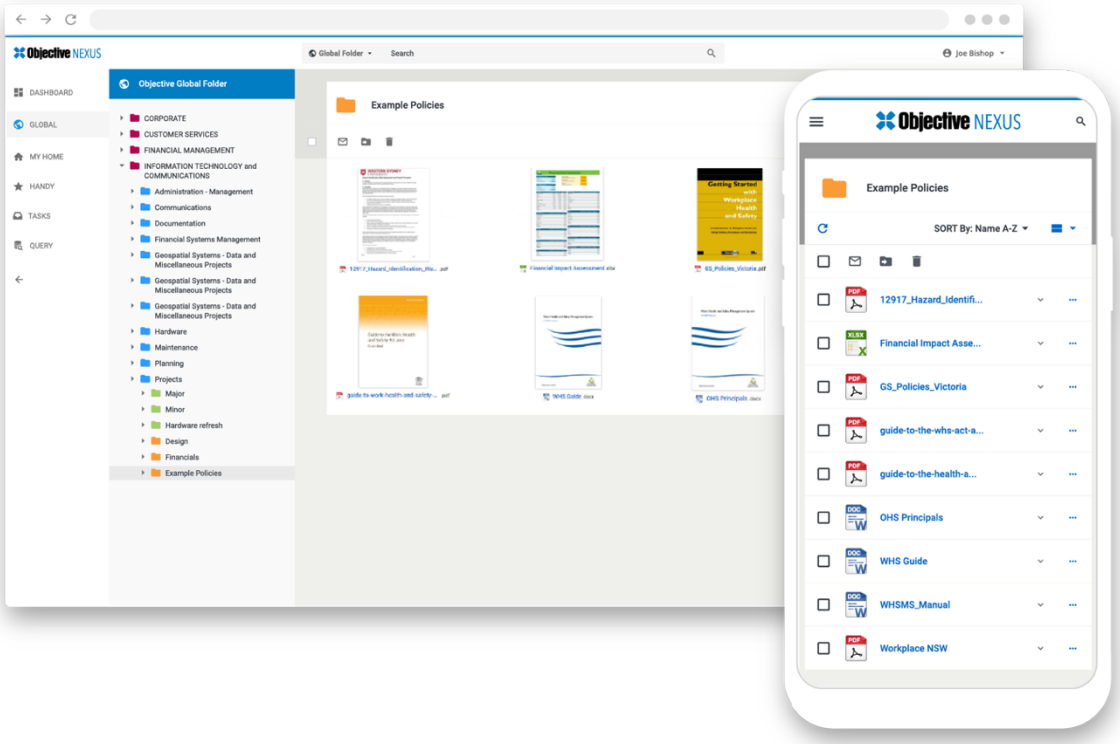
For Objective, subscription licensing of our cloud offerings means more predictable revenue and the ability to invest with confidence. At 31 December 2021 our ARR was $79m, only 5 years ago it was $32m. That's a big achievement from the team.

ECM as a Service for machinery of government changes

"Following the amalgamation of 3 NSW agencies into one, we needed a single Objective ECM environment.

We transitioned to Objective ECM as a Service to reduce risks around availability and also to simplify the responsibility for supporting this new environment."

Robert Peacock
ICT Manager
Infrastructure NSW



Objective Nexus is our next generation of information and process management delivered as a cloud only service.

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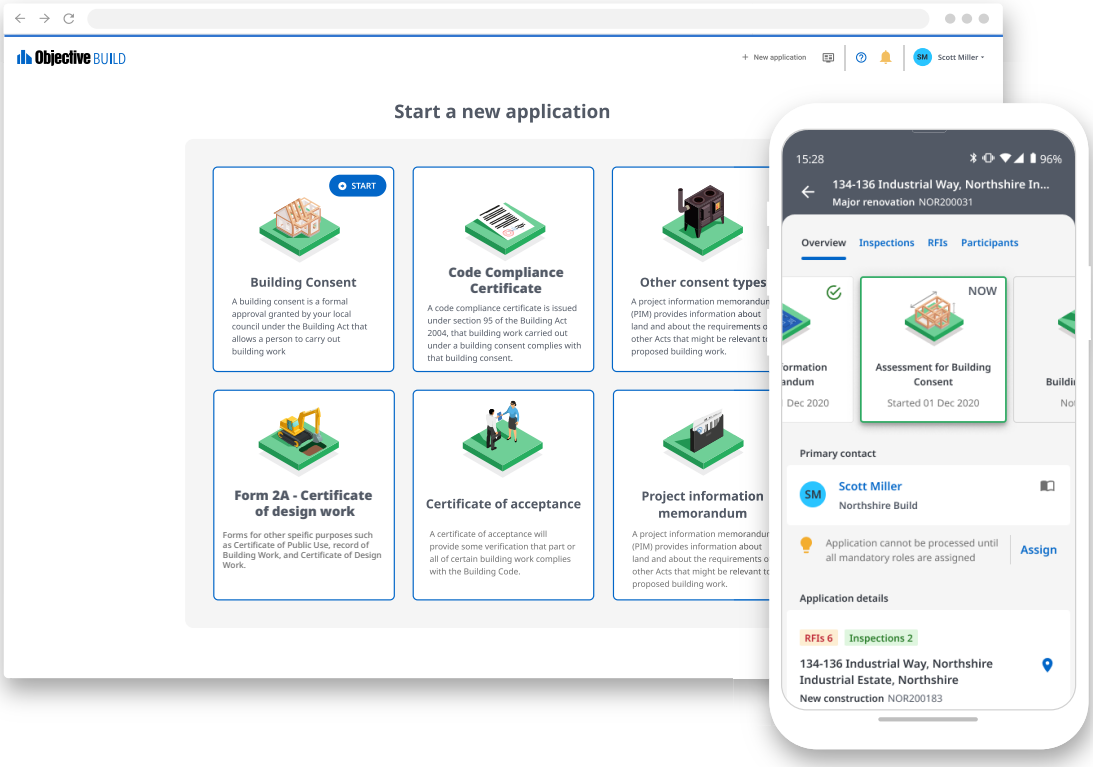
TAKING OBJECTIVE TO THE PEOPLE

Until now, our solutions have worked tirelessly and reliably in the engine rooms of our customers, keeping the business of government in check, powering the processes of the public sector – vitally important, but generally known only to those on the inside. Today, Objective solutions connect citizens to our customers, putting them at the centre of digital government. We're moving from the back office to front and centre.

At Wage Inspectorate Victoria, Objective RegWorks powers the regulation and enforcement of new anti-wage theft legislation in Victoria. It provides a RegWorks powered web site for people to report unfair employment conditions to the Inspectorate and then the subsequent investigation and management to resolution.

Objective Build lets architects, builders and residents submit their planning applications directly into our end-to-end solution that will power their applications through their local council; giving all stakeholders transparency of progress throughout the process.

These are significant advances in the use of our solutions and they increase the visibility of our brand with the general public; building trust in Objective software to manage a wider range of mission critical government processes.



Objective Build makes it faster and easier for architects, builders and private applicants to obtain approvals for buildings and developments from local authorities.

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BETTER TOGETHER - MICROSOFT PARTNERSHIP

Driven by the remote or hybrid work-practices of the past two years, together with the general move to increased digitisation of the workplace, Microsoft's global rollout of "the modern workplace" continues. The need for effective and immediate collaboration has spawned increased uptake of the Office Suite and the broader Microsoft365 stack such as Teams, SharePoint, Exchange and more.

For those of us with deep knowledge of the public sector and regulated industries, we know that this rollout needs to be accompanied by a level of governance and compliance that Microsoft does not offer. This is Objective's sweet spot.

Our complementary cloud products mean government agencies can use the Microsoft tools they want to, while applying the level of information governance required.

Objective is part of the Microsoft Intelligent Security Association (MISA) program, we run joint campaigns, create co-branded content and media programs. Our solutions are available on the Microsoft marketplace, App Source and Azure Marketplace, making it easier for Microsoft customers to buy Objective products.

Balancing collaboration with information governance

"Objective has been helping government agencies increase user adoption of Microsoft Teams by providing another option for capturing their information as a record to comply with regulatory legislation and align with their internal recordkeeping policies."

Rachel Bondi
Chief Partner Officer
Microsoft

Where to next?

As we approach significant delivery milestones for our investment programs in Objective Nexus and Objective Build, we're really excited be in market and working with customers to deliver outcomes to their communities.

Reaching an agreement to settle on the NZ Commerce Commission's investigation into the acquisition of MBS gives us the clarity to further invest in our teams dedicated to Planning & Building solutions – focusing on innovations for the next iterations of all of our products in this space.

We're absolutely delighted with the progress we're making in our RegTech business; last year we set a new record for our biggest customer win and we have confidence that we will top that again in H2. That we create greater value for the customers and products that join our family gives us confidence in applying our playbook to future acquisitions. As travel restrictions ease it will become easier to pursue these opportunities in geographies outside of Australia.

We're looking forward to taking our existing products into new geographic markets and renewing connections with customers in real life. We approach the second half of FY2022 with confidence, as the opportunities of eased restrictions play out along with current or increased investments in workplace digitisation driving demand for Objective software.

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We know we are delivering on our mission; and I am highly motivated to empower **#outstanding teams,** both here at Objective and within our customers, to use their vision and imagination to identify those really high impact projects that can make the greatest difference for our communities and nations.

Tony Walls
CEO, Objective Corporation

Delivering better services and outcomes to residents

"The reason we use so many Objective products is not only for how well they integrate with each other, but also how they integrate with other systems.

They're not sitting there to take over the entire ecosystem and all of council systems. They're there to work with council systems and make the staff's job easier which means we can deliver those results to residents."

James Hickmott
Digital Data Transformation Lead
City of Greater Dandenong

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